



1%

The1% Academy

WORKBOOK · EDITION 1

SMART MONEY & INSTITUTIONAL · ADVANCED

Order Blocks Masterclass

The1% Workbook

Valid versus invalid order blocks, mitigation, breakers and refinement. Every lesson, chart and practice task from the course, with space for your own notes.

6

LESSONS

7

CHARTS

10

QUIZ QUESTIONS

~4h

STUDY TIME

What you will learn

- ✓ Define an order block precisely: the last opposite candle before a displacement that breaks structure.
- ✓ Separate valid order blocks from ordinary candles using displacement, imbalance and a break of structure.
- ✓ Refine an order block, choose an entry level and place a stop that respects the idea.
- ✓ Recognise breaker and mitigation blocks, and plan a complete order block trade with a liquidity target.

Contents

DEFINITION

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| 01 | What an order block is | 9 min |
|----|------------------------|-------|

VALIDITY

- | | | |
|----|---|--------|
| 02 | Valid order blocks: displacement, imbalance and BOS | 10 min |
| 03 | Refinement, mean threshold and stops | 9 min |

BREAKERS AND MITIGATION

- | | | |
|----|--------------------------------------|-------|
| 04 | Breaker blocks and mitigation blocks | 9 min |
|----|--------------------------------------|-------|

THE COMPLETE TRADE

- | | | |
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| 05 | The order block entry model | 11 min |
| 06 | Grading blocks and managing the trade | 9 min |

FINAL

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|---|---------------------------|--------------|
| Q | Final quiz and answer key | 10 questions |
|---|---------------------------|--------------|

How to use this workbook

- Read one lesson at a time, then do its practice task on a real chart before moving on.
- Use the notes space at the end of each lesson to write what you saw in the market, not what the page says.
- Take the final quiz without looking back. Then check the answer key and revisit any lesson you missed.
- Take the same quiz online in the The1% Academy to earn your certificate.

What an order block is

An order block is the last opposite-coloured candle before a strong move. It marks where large orders were placed, and where the unfilled remainder may still wait.

Why large orders leave a footprint

A large participant cannot buy their full size at one price. They build the position in pieces, often by selling into a dip first, or by absorbing sellers in a small area. When their buying finally overwhelms the market, price leaves in one aggressive move.

The last bearish candle before that bullish move is where the final part of the accumulation happened. We call that candle a bullish order block. The mirror image, the last bullish candle before an aggressive drop, is a bearish order block.

Bullish order block: the last down candle before displacement

DIAGRAM



The block is drawn from the high to the low of the last bearish candle. When price returns (circled), the remaining buy orders can push it away again.

Order blocks and supply and demand

An order block is a specific, tighter version of a demand or supply zone. A zone may include several candles of a base. The order block narrows it to one candle, which gives a tighter stop and a larger reward for the same risk, but also more chance of being run through.

The order block is a hypothesis about where orders sit. Everything in this course is about filtering which hypotheses are worth trading.

KEY TAKEAWAYS

- Bullish OB = last bearish candle before an aggressive bullish move.
- Bearish OB = last bullish candle before an aggressive bearish move.
- Draw it from the candle's high to its low, wicks included.

COMMON MISTAKES

- Marking every opposite candle as an order block.
- Drawing the block on a candle that sits in the middle of the move, not before it.
- Treating an order block as certain support.

PSYCHOLOGY CHECK

Order blocks can make you feel you know what institutions are doing. You don't. You know where a probability sits. Keep the humility and keep the stop.

PRACTICE TASK

On a 4H chart, find five aggressive moves. For each, mark the last opposite candle before it. Note which ones price has returned to.

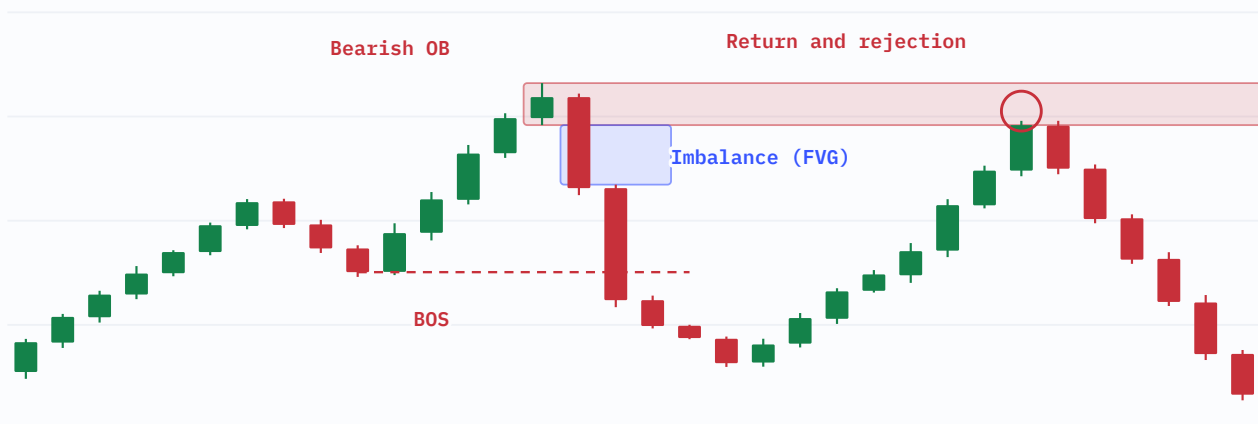
Valid order blocks: displacement, imbalance and BOS

Most opposite candles are just candles. A valid order block needs three things: a displacement away from it, an imbalance left behind, and a break of structure.

The three tests

A valid bearish order block: all three tests pass

DIAGRAM



Displacement out of the block, a gap left behind, and a close below the swing low. Price returned, filled the imbalance and rejected the block.

- Displacement: the move away is fast and large, several candles with big bodies and small wicks.
- Imbalance: the move leaves a fair value gap, a place where one candle's wick does not overlap the candle two bars later. It shows orders were one-sided.
- Break of structure: the move closes beyond a previous swing. Without a break, the move may only be noise inside a range.

Why each test matters

Displacement shows urgency, which suggests orders were left unfilled. The imbalance shows the move was one-sided. The break of structure shows the move changed the market, not just a small swing inside a range. A block that fails any of the three is marked as low grade or ignored.

KEY TAKEAWAYS

- Displacement, imbalance, break of structure: all three or no trade.
- The imbalance often gets filled on the way back to the block.
- The stronger the displacement, the higher the grade.

COMMON MISTAKES

- Trading blocks with slow, overlapping moves away from them.
- Ignoring whether the move actually broke structure.
- Confusing an imbalance with a normal wick overlap.

PSYCHOLOGY CHECK

A strict validity test will mean fewer trades. That is the point. Fewer, better trades are what keep a small edge from being eaten by boredom.

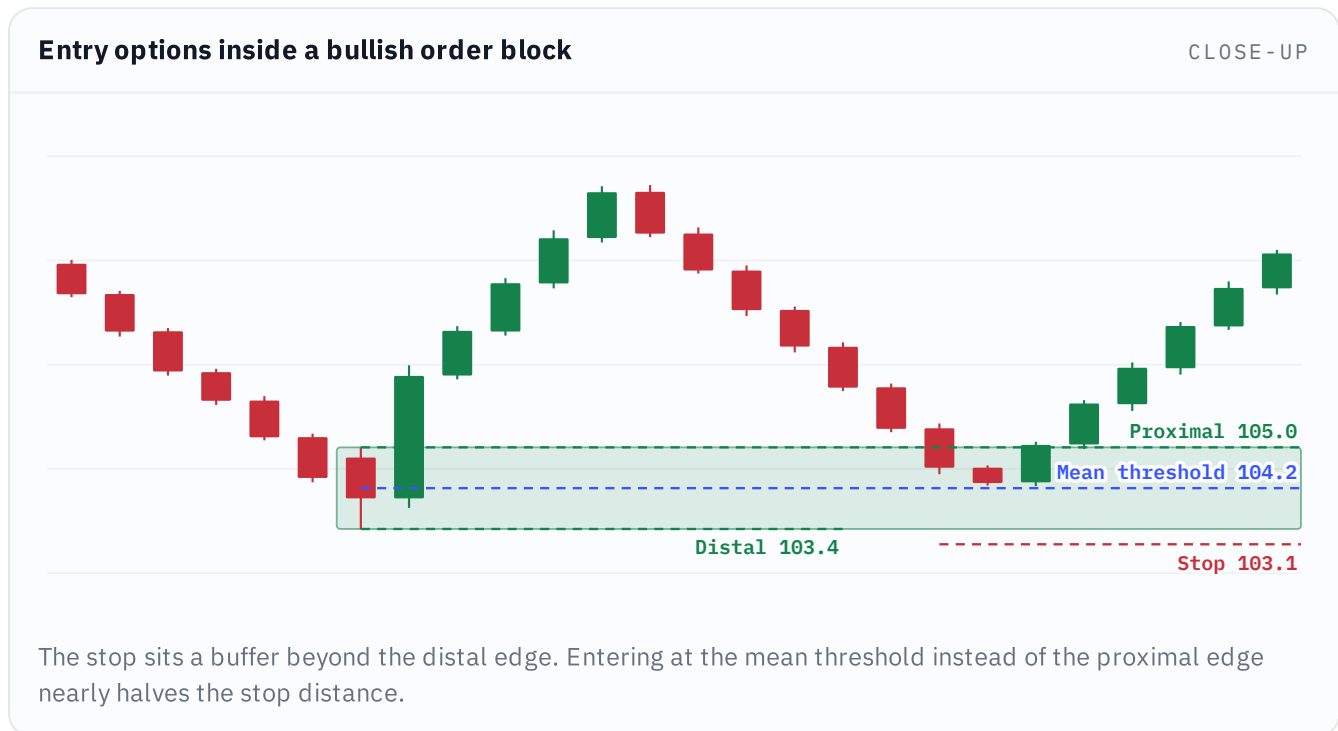
PRACTICE TASK

Take the five blocks you marked in ob1. Test each against the three rules. How many survive?

Refinement, mean threshold and stops

Where inside the block you enter, and where you put the stop, decides both your R and your hit rate.

Three entry levels



- Proximal edge: the side of the block closest to current price. Most fills, lowest reward.
- Mean threshold: the 50% level of the block. A common balance between fill rate and reward.
- Body open: for a bullish OB, the open of the bearish candle. Tighter again, but fewer fills.

Refining a wide block

If a 4H block is too wide for your risk, drop to the 1H or 15M and look for a smaller order block inside it. The higher-timeframe block gives the reason; the lower-timeframe block gives the precise entry. Do not refine so far down that the block no longer reflects meaningful orders.

A block that is closed through by a full candle body is considered failed. Wicks through the block are fine; bodies through it are not.

KEY TAKEAWAYS

- Choose one entry method and test it; do not change it trade by trade.
- Stop beyond the distal edge plus a buffer for spread.
- A body close through the block invalidates it.

COMMON MISTAKES

- Putting the stop exactly on the distal line.
- Refining down to the 1-minute chart.
- Keeping a trade open after a body has closed through the block.

PSYCHOLOGY CHECK

Missing a trade because your limit at the mean threshold did not fill will sting. That sting is the price of a better R. Record it, and let the statistics decide.

PRACTICE TASK

Backtest 20 blocks. For each, record the result for all three entry levels. Which level had the best expectancy for you?

Breaker blocks and mitigation blocks

When an order block fails, it can flip. The failed block becomes a level for the other side.

The breaker block

A bullish order block that price closes through has failed. The buyers who entered there are now trapped. When price comes back up to the block, many of them close at break-even, adding selling pressure. The failed bullish block has become a bearish breaker.

A failed bullish OB becomes a bearish breaker

DIAGRAM



Buyers trapped in the failed block sell to get out when price returns, which is why the breaker often rejects price.

Mitigation blocks

A mitigation block forms when price fails to make a new extreme, then breaks structure the other way. The last opposite candle before that break is where traders who were caught offside can exit, or 'mitigate', their losing positions. It behaves like a breaker but without the prior liquidity sweep.

- Breaker: price swept a high or low first, then broke structure.
- Mitigation: no sweep; price simply failed to make a new extreme, then broke structure.
- Both are traded on the retest, with the stop beyond the block.

KEY TAKEAWAYS

- A block closed through by a body has failed and may flip.
- Breakers form after a sweep; mitigation blocks form without one.
- Trapped traders exiting at break-even create the reaction.

COMMON MISTAKES

- Continuing to buy a bullish block after it has been broken.
- Calling every retest a breaker without a clear break of structure.
- Trading a breaker against the higher-timeframe trend without a target.

PSYCHOLOGY CHECK

When a block fails, the natural reaction is to hope. A breaker teaches the opposite: a failed idea is information, and the other side of it may be the trade.

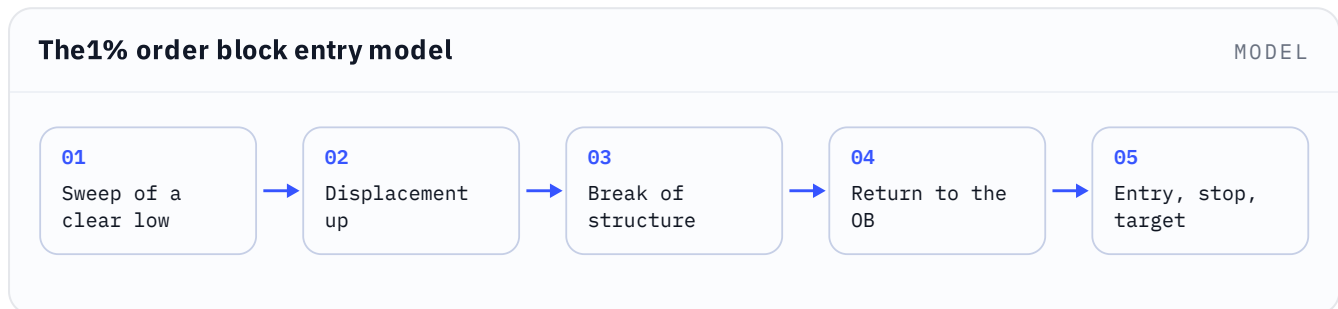
PRACTICE TASK

Find three failed order blocks in the last month on one pair. Did price react when it returned to them from the other side?

The order block entry model

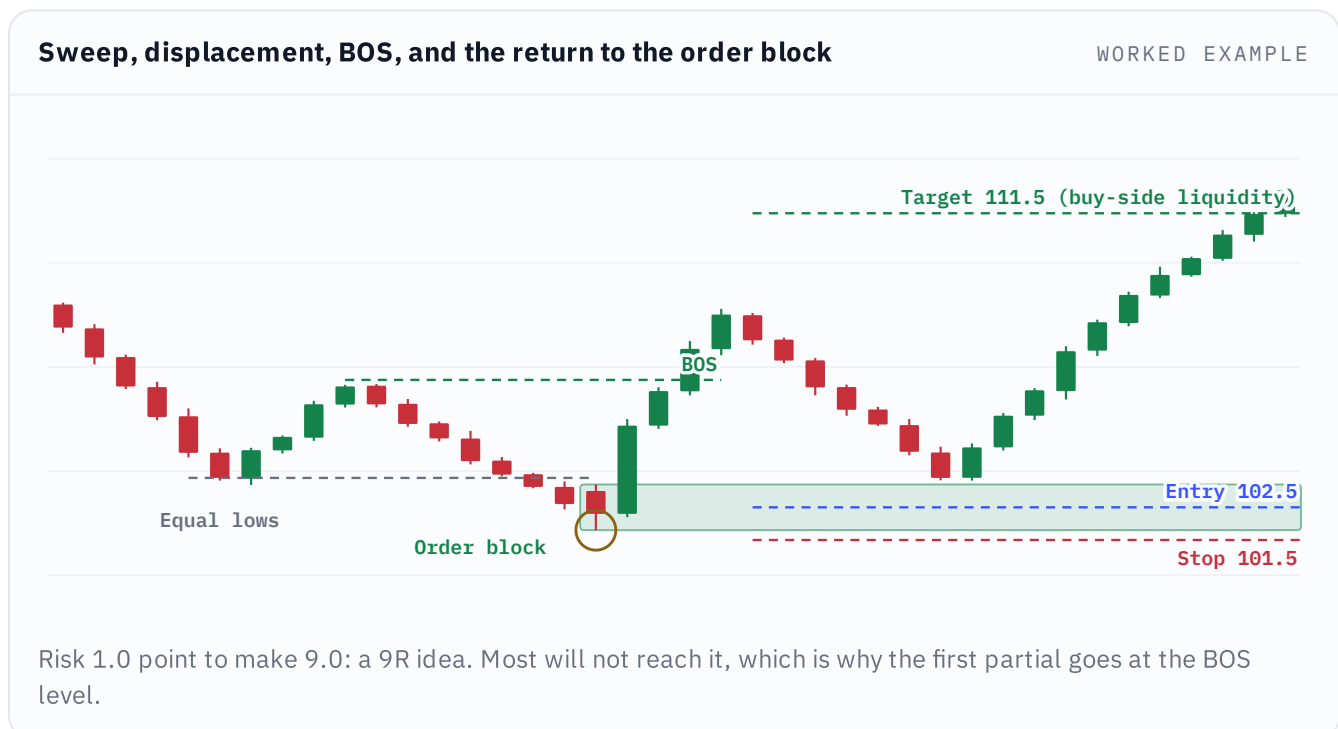
Liquidity sweep, displacement, break of structure, return to the block. This sequence turns an order block from a guess into a planned trade.

The sequence



A worked example

Price takes out a clean pair of equal lows, which fires sell stops. The last bearish candle before the aggressive rally becomes our order block. The rally breaks the most recent swing high. We place a limit order at the block's mean threshold, the stop below the sweep low, and the target at the next buy-side liquidity.



KEY TAKEAWAYS

- The sweep gives the reason, the BOS gives the confirmation, the block gives the entry.
- Stop below the sweep low, not just below the block.
- Target the next pool of liquidity.

COMMON MISTAKES

- Entering on the sweep itself, before displacement and BOS.
- Targeting a random R multiple instead of a liquidity pool.
- Moving the stop to break-even too early and getting wicked out.

PSYCHOLOGY CHECK

The model gives you permission to wait. If one step is missing, the answer is no trade. Missing out on a move is not a loss.

PRACTICE TASK

Find ten examples of the full five-step model in historical data. Record entry, stop, target and outcome in R for each.

Grading blocks and managing the trade

Not every valid block deserves full risk. Grade the block, set the risk, and manage the trade with rules you wrote before the entry.

The 1% order block grade

Example: grading a 1H bullish order block

SCORECARD

Swept liquidity first		2 / 2
Displacement + imbalance		2 / 2
Broke structure		2 / 2
In discount (HTF)		1 / 2
Fresh (untested)		2 / 2

Total 9 / 10. The 1% rule: 9 to 10 full risk, 7 to 8 half risk, below 7 no trade.

Managing the trade

- First partial at the BOS level or 2R, whichever comes first.
- Move the stop to break-even only after price closes beyond the BOS level, not on the first push.
- Close the rest at the liquidity target, or if a body closes back through the block.
- Write the management plan before entry and follow it exactly.

KEY TAKEAWAYS

- Grade before you size.
- Risk scales with the grade, never with how confident you feel.
- Management rules are written before the entry.

COMMON MISTAKES

- Giving every block full risk.
- Changing the management plan in the middle of a trade.
- Skipping the freshness check.

PSYCHOLOGY CHECK

Grading takes the emotion out of sizing. Confidence is a feeling; a score is a record you can review.

PRACTICE TASK

Grade the next ten blocks you see before looking at the outcome. After they play out, compare the results of 9+ blocks with the rest.

Write what you saw in the market while doing the practice tasks: the instrument, the date, what the lesson predicted and what actually happened.

Test yourself

10 questions. Aim for 80% or better, then take the quiz online for your certificate.

1. A bullish order block is...

- A. The first green candle of a rally
- B. The last bearish candle before an aggressive bullish move
- C. Any doji
- D. The highest candle of the day

2. Compared with a supply or demand zone, an order block is usually...

- A. Wider
- B. Tighter, often a single candle
- C. Unrelated
- D. Only on daily charts

3. Which three tests make an order block valid?

- A. Colour, size and time
- B. Displacement, imbalance, break of structure
- C. RSI, MACD and volume
- D. Round number, news, session

4. An imbalance (fair value gap) is...

- A. A candle with no body
- B. A gap between one candle's wick and the candle two bars later
- C. A news spike
- D. A spread widening

5. The mean threshold is...

- A. The block's 50% level
- B. The top of the block
- C. A moving average
- D. The stop

6. An order block is usually invalidated when...

- A. A wick touches it
- B. A full candle body closes through it
- C. It is older than a day
- D. Price reaches it

7. A breaker block is...

- A. A block that price never returned to
- B. A failed order block that flips to the other side
- C. A candle with long wicks
- D. A broker error

8. In the entry model, what comes right before the return to the order block?

- A. The sweep
- B. The break of structure
- C. The target
- D. News

9. Where does the stop go in the order block entry model?

- A. At the mean threshold
- B. Below the sweep low
- C. At the BOS level
- D. No stop

10. Using The1% grading, a block scoring 7 or 8 gets...

- A. Full risk
- B. Half risk
- C. Double risk
- D. No trade

Answers and explanations

#	ANSWER	WHY	REVIEW
1	B. The last bearish candle before an aggressive bullish move	It is the last opposite candle before displacement.	Lesson 1
2	B. Tighter, often a single candle	It narrows the zone to the last opposite candle.	Lesson 1
3	B. Displacement, imbalance, break of structure	All three show the move was urgent, one-sided and meaningful.	Lesson 2
4	B. A gap between one candle's wick and the candle two bars later	It shows price moved so fast the wicks did not overlap.	Lesson 2
5	A. The block's 50% level	It is the midpoint of the block.	Lesson 3
6	B. A full candle body closes through it	Wicks through are fine; a body close through means the orders are gone.	Lesson 3
7	B. A failed order block that flips to the other side	Trapped traders exit at break-even and create the reaction.	Lesson 4
8	B. The break of structure	Sweep, displacement, BOS, then the return.	Lesson 5
9	B. Below the sweep low	The sweep low is where the idea is proved wrong.	Lesson 5
10	B. Half risk	9 to 10 full risk, 7 to 8 half, below 7 no trade.	Lesson 6

Keep going

Finished the workbook? Enroll in the next masterclass in the The1% Academy, log every practice trade in the journal, and review your results in R every week.

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